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UNRAVELLING THE MISGOVERNANCE IN INDIAN START-UPS

The issues in the country's start-up ecosystem need to be resolved to sustain India's entrepreneurial spirit

THE GLOBAL ACCLAIM of Indian entrepreneurs is undeniable. A study conducted by Ilya Strebulev, Professor of Finance at Stanford Graduate School of Business, revealed that 90 of the 1,078 founders behind 500 US unicorns were from India, almost double the number of founders from the next two nations—Israel and Canada.

Additionally, 35 of the Fortune 500 companies have Indian-origin CEOs. Besides, Indians are increasingly leading many influential family offices and sovereign wealth

funds in GCC countries. These achievements are a testament to the traits often associated with Indians: leaders, innovators and hard workers with strong moral values, ethical conduct and a law-abiding nature. Yet, despite this track record, a stark contrast is evident in India's start-up ecosystem. Here, we encounter many governance challenges that mar the landscape. This raises a critical question: Why do Indian entrepreneurs face such challenges in their own country?

This paradox shows an anomaly in our societal conduct, which prompts us to question whether the Indian start-up ecosystem might inadvertently nurture a culture that compromises governance. Hence, aligning our domestic success with our international reputation is critical to sustaining India's entrepreneurial spirit.

CAUSES OF MISGOVERNANCE

India's start-up landscape is rife with a culture of founders being prematurely idolised. Media accolades like '30 under 30' or '40 under 40' are bestowed upon individuals who have not yet demonstrated sustained business success, with their primary achievement often being the capital they've raised.

This can instil a false sense of success, and an "I have arrived" mentality, disastrous in an evolving landscape. A recent *New York Post* article highlighted how several

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